

ECON 1550 International Finance

# A Tour of the World

Tariff Wars

## Nominal Broad U.S. Dollar Index



Sources: [Reuters tariff timeline](#); [White House fact sheet](#) (Feb. 20, 2026); data: [FRED DTWEXBGS](#) (Mar. 20, 2026).

# Tariff authorities for executive branch

- **International Emergency Economic Powers Act, IEEPA (1977)**  
During declared national emergency
- **Section 232, Trade Expansion Act (1962)** For threats to national security
- **Section 301, Trade Act (1974)** To address unfair trade practices
- **Section 122, Trade Act (1974)** During balance-of-payments emergency

# Declared emergencies for IEEPA tariffs

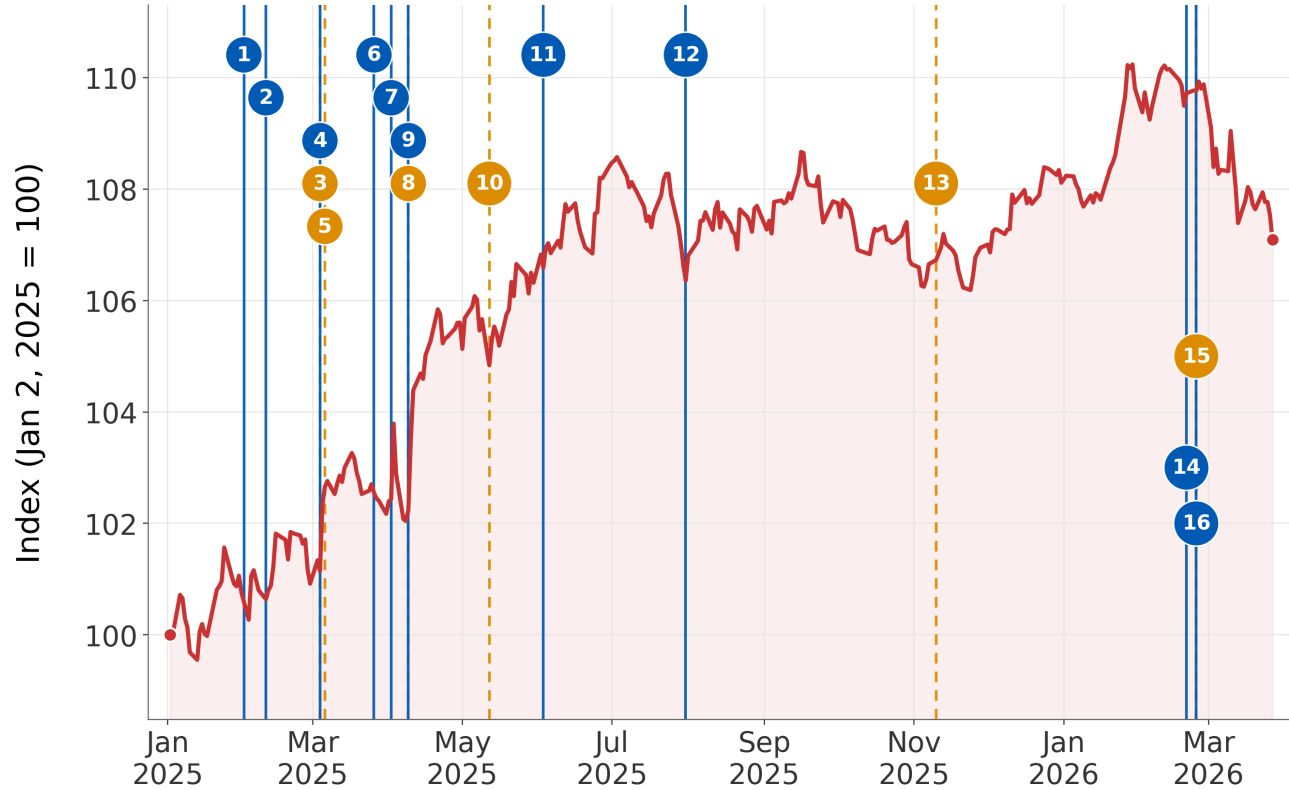
The failure of each country to...

- Canada — “take adequate steps to alleviate the illegal migration and illicit drug crises”
- Mexico — “arrest, seize, detain, or otherwise intercept Mexican drug trafficking organizations, other drug and human traffickers, criminals at large, and illicit drugs”
- China — “blunt the sustained influx of synthetic opioids”

# Timeline of major tariff events

| Event       |                                                 | TACO                                    |
|-------------|-------------------------------------------------|-----------------------------------------|
| <b>2025</b> |                                                 |                                         |
| Feb 1       | 25% on Canada/Mexico; 10% on China (IEEPA)      | Canada/Mexico delayed to Mar 4          |
| Feb 10      | Steel/aluminum to 25%, no exemptions (Sec. 232) |                                         |
| Mar 4       | Canada/Mexico take effect; China to 20%         | Mar 6: USMCA-compliant exempt until Apr |
| Mar 26      | 25% on autos/parts (Sec. 232)                   |                                         |
| Apr 2       | “Liberation Day” 10% + country-specific         | Apr 9: 10% paused ex China              |
| Apr 9       | China raised to 145%                            | May 12: 30% for 90 days; Nov: 1-yr deal |
| Jun 3       | Steel/aluminum to 50% (Sec. 232); UK stays 25%  |                                         |
| Jul 31      | Reciprocal tariffs on ~60 partners (10–41%)     |                                         |
| <b>2026</b> |                                                 |                                         |
| Feb 20      | Supreme Court strikes down IEEPA tariffs        | All IEEPA tariffs terminated Feb 24     |
| Feb 24      | 10% surcharge on most imports (Sec. 122)        | Expires Jul 24, 2026                    |

# Nominal Broad U.S. Dollar Index

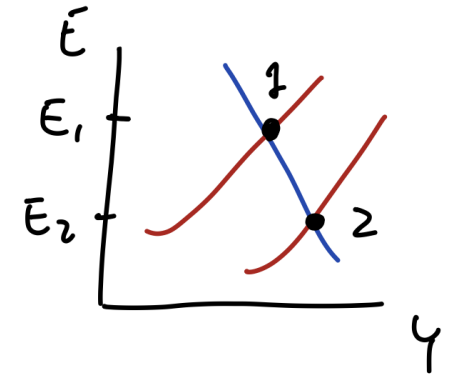


## Event

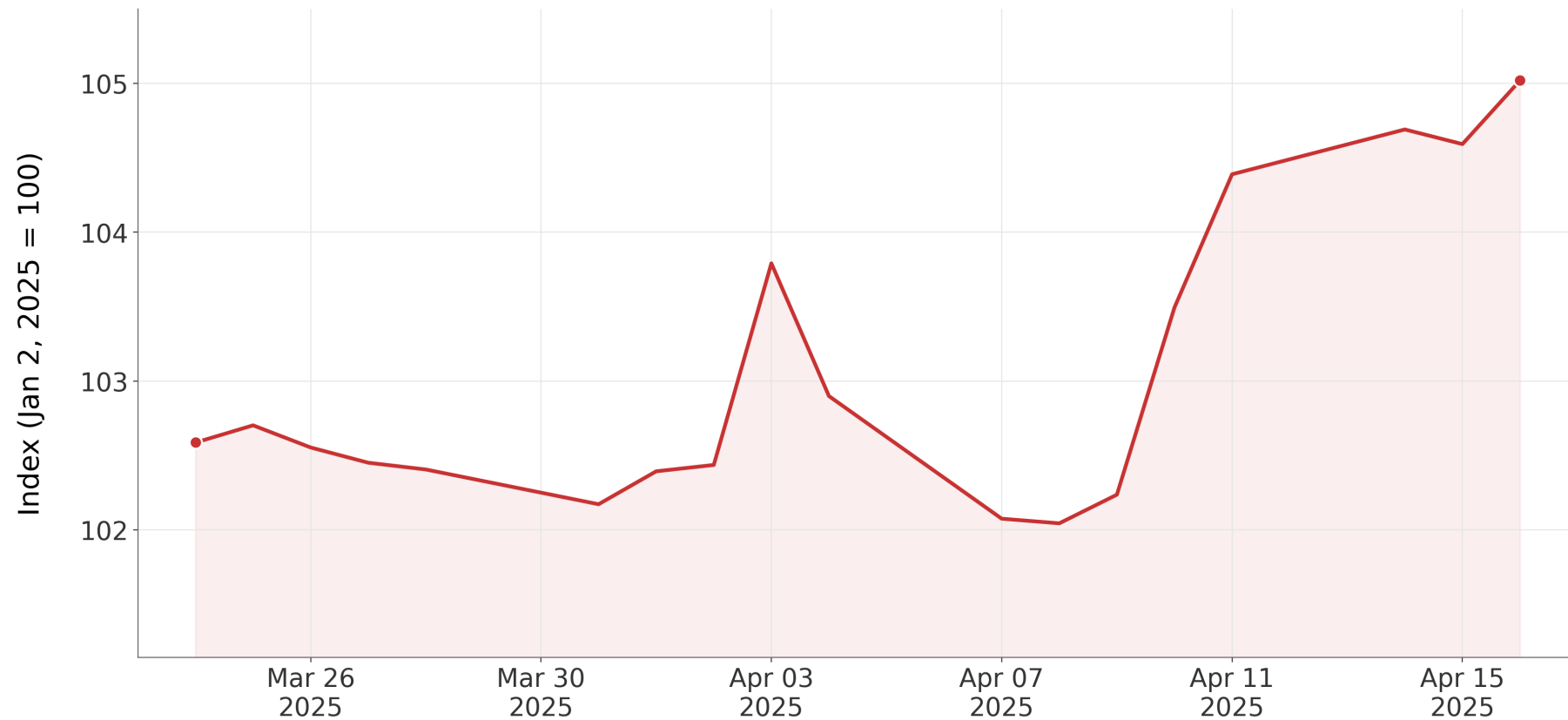
- 1 Feb 1, 2025
- 2 Feb 10, 2025
- 4 Mar 4, 2025
- 6 Mar 26, 2025
- 7 Apr 2, 2025
- 9 Apr 9, 2025
- 11 Jun 3, 2025
- 12 Jul 31, 2025
- 14 Feb 20, 2026
- 16 Feb 24, 2026

## TACO

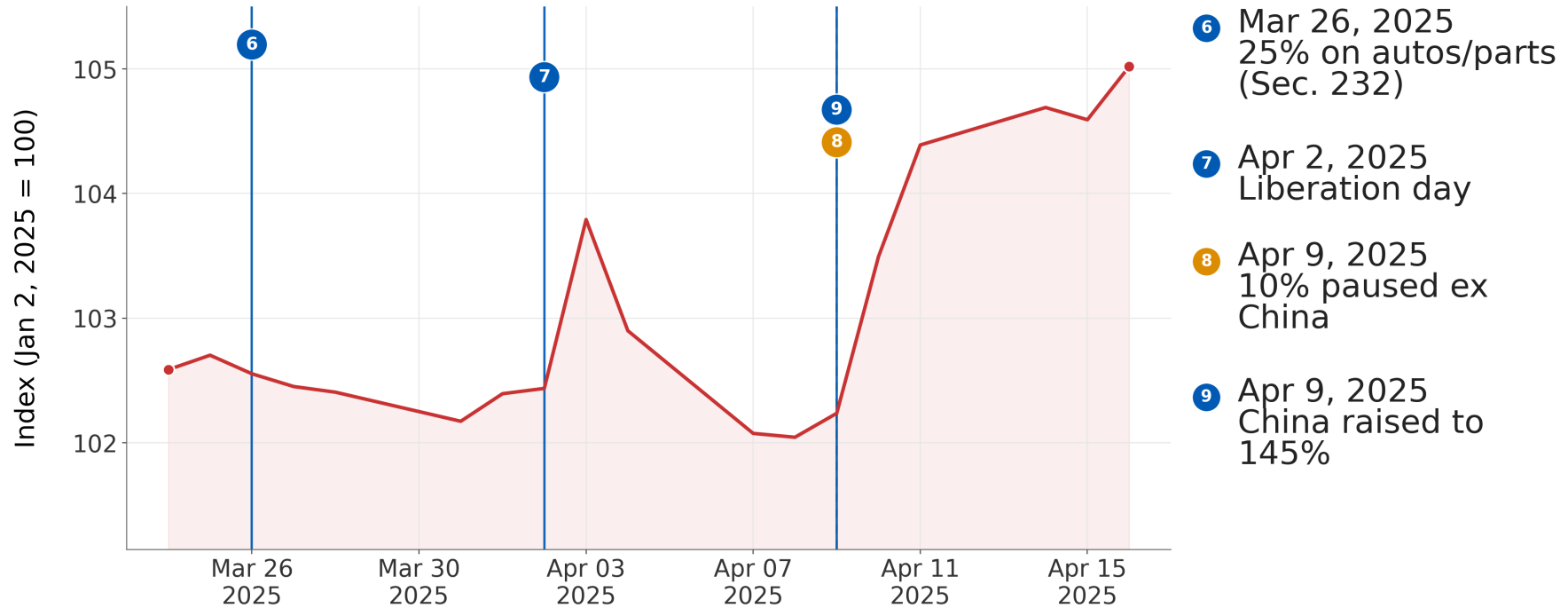
- 3 Mar 4, 2025
- 5 Mar 6, 2025
- 8 Apr 9, 2025
- 10 May 12, 2025
- 13 Nov 10, 2025
- 15 Feb 24, 2026



## Nominal Broad U.S. Dollar Index



## Nominal Broad U.S. Dollar Index



# The dollar fell despite rising tariffs

- Nominal broad dollar index: 129.46 on Jan 2, 2025 → 120.28 on Mar 20, 2026—roughly a 7% depreciation over about 15 months.
- AA-DD model says tariffs should make the dollar *appreciate*
- Yet the dollar weakened through most of the tariff escalation.

# Why might tariffs weaken the dollar?

- Retaliation: trading partners imposed their own tariffs
- Duration of tariffs: the IEEPA legal challenge raised questions about tariffs being permanent or temporary
- Uncertainty: frequent reversals, volatile policies
- The overall behavior combines all effects

# Retaliation: Not huge

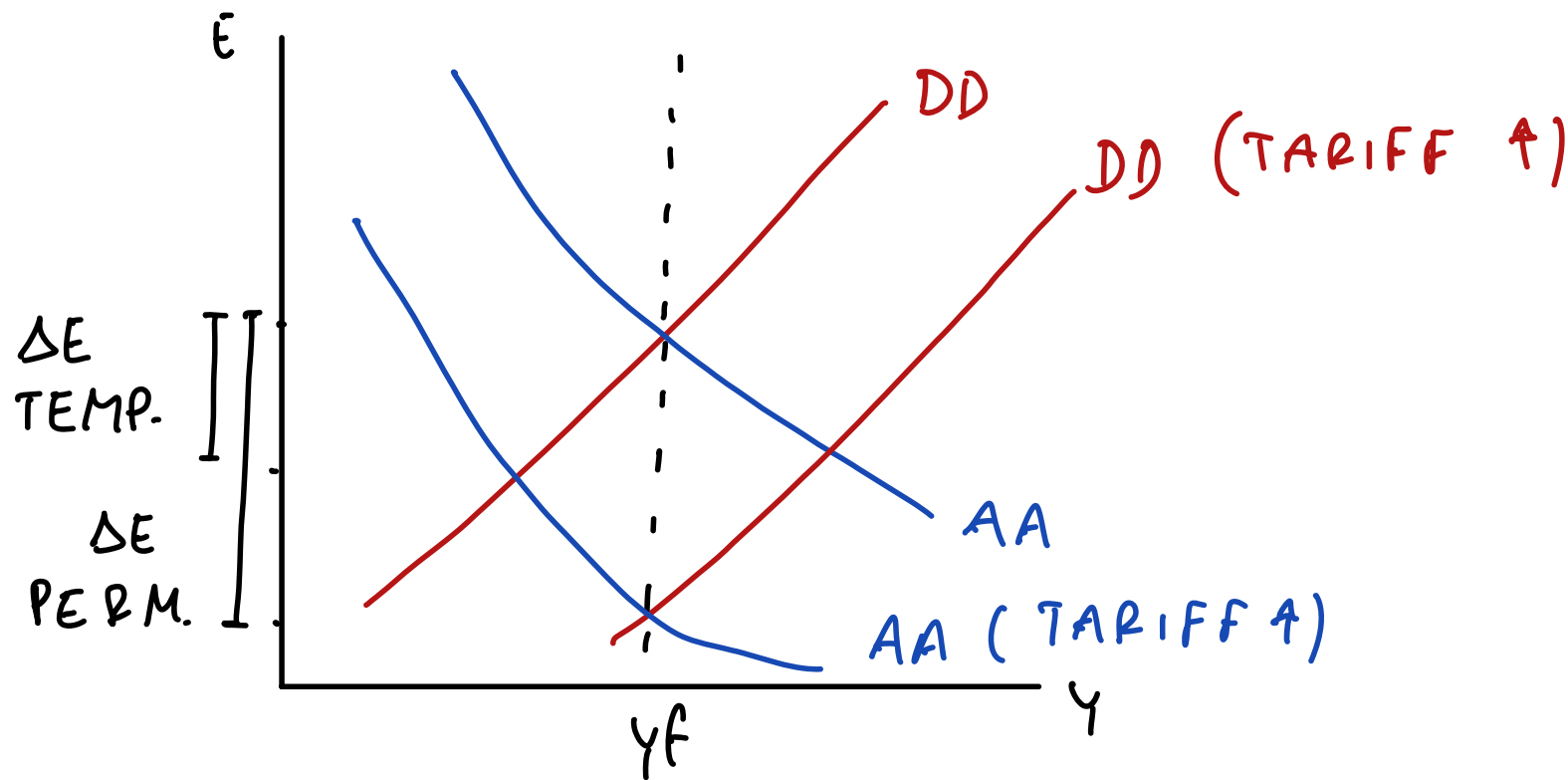
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|                                        | <b>Before</b><br>(Jan 2025) | <b>Now</b><br>(Mar 2026) | <b>Peak</b><br>(Apr 2025) |
|----------------------------------------|-----------------------------|--------------------------|---------------------------|
| On foreign goods entering the U.S.     | 2.2%                        | <b>10%</b>               | <b>28%</b>                |
| On U.S. goods entering other countries | 1.9%                        | <b>3.2%</b>              | —                         |

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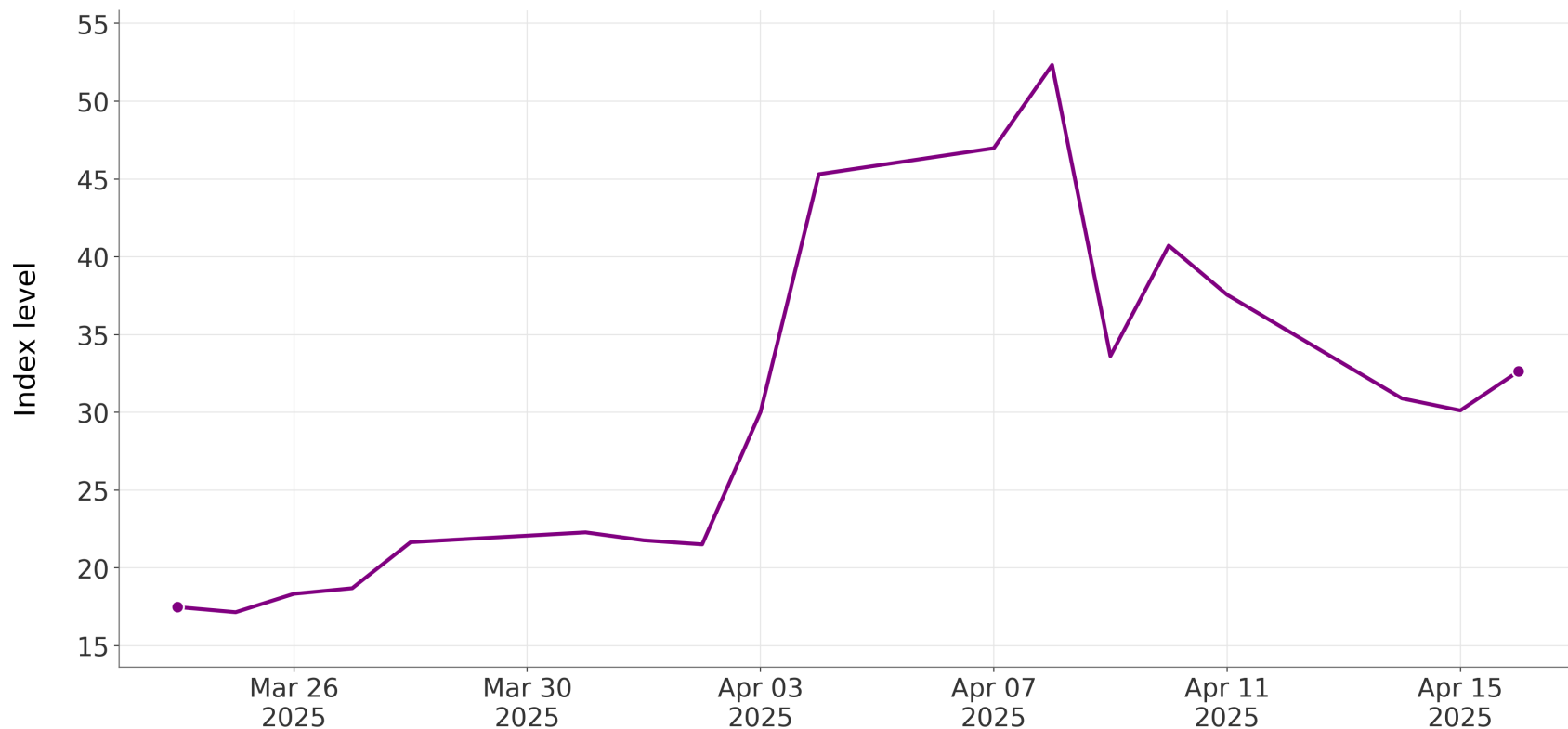
Sources: [Yale Budget Lab](#) (peak); [Tax Foundation](#); [WTO tariff profiles](#); [U.S. Census Bureau](#) export data (2024). All figures are trade-weighted averages.

Duration of tariffs: changes size of appreciation only, not direction



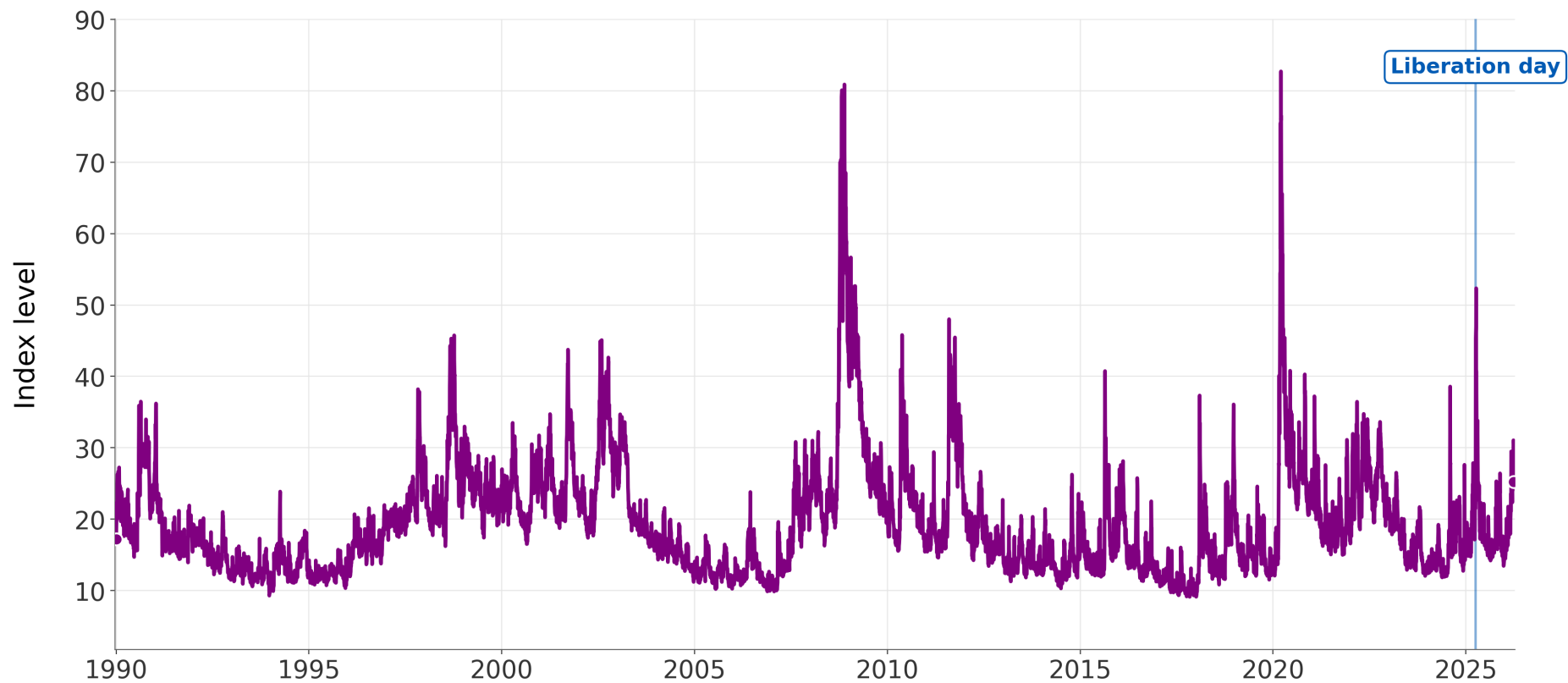
# Uncertainty: Increase in risk premium

CBOE Volatility Index (VIX)



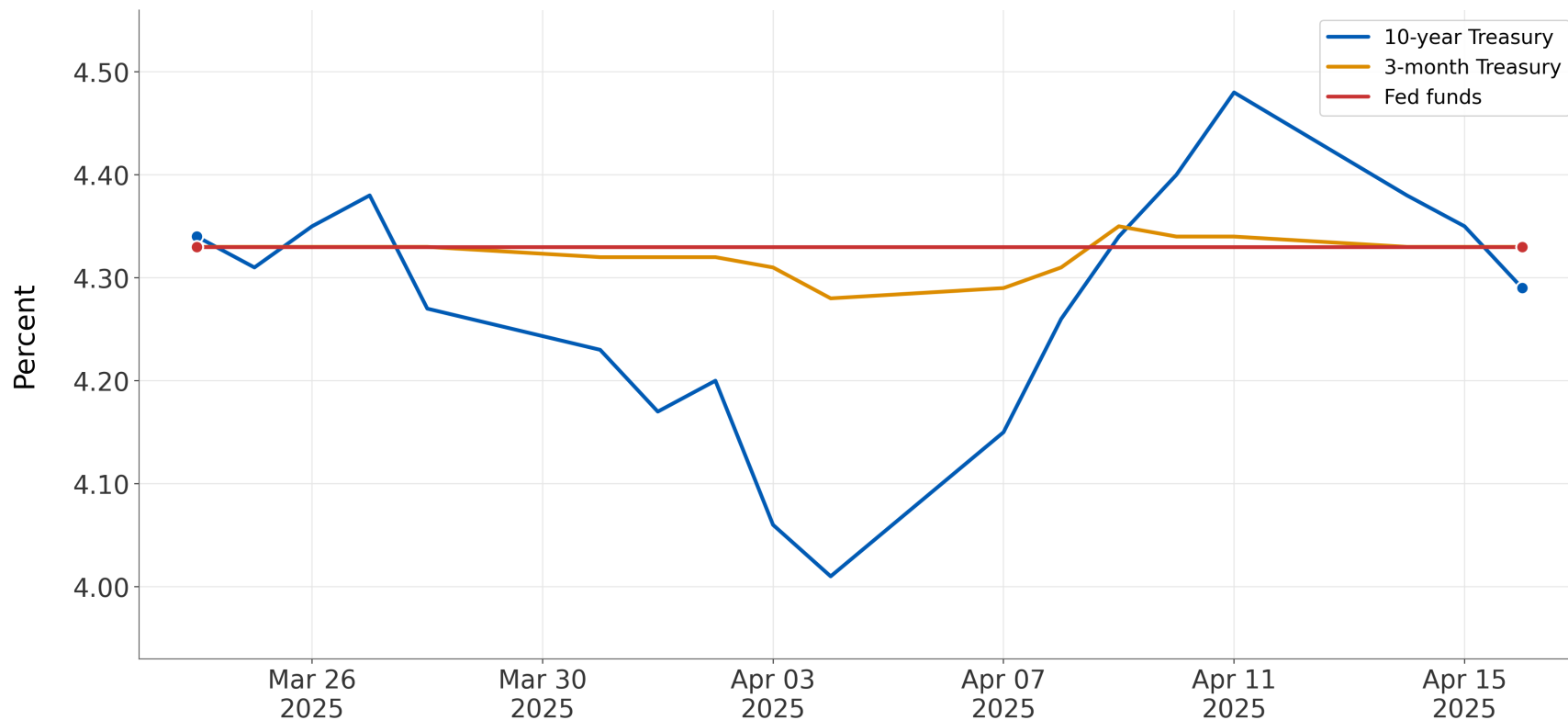
Source: [FRED VIXCLS](#).

## CBOE Volatility Index (VIX)



# U.S. rates in the VIX window

Treasury Yields and Fed Funds Rate

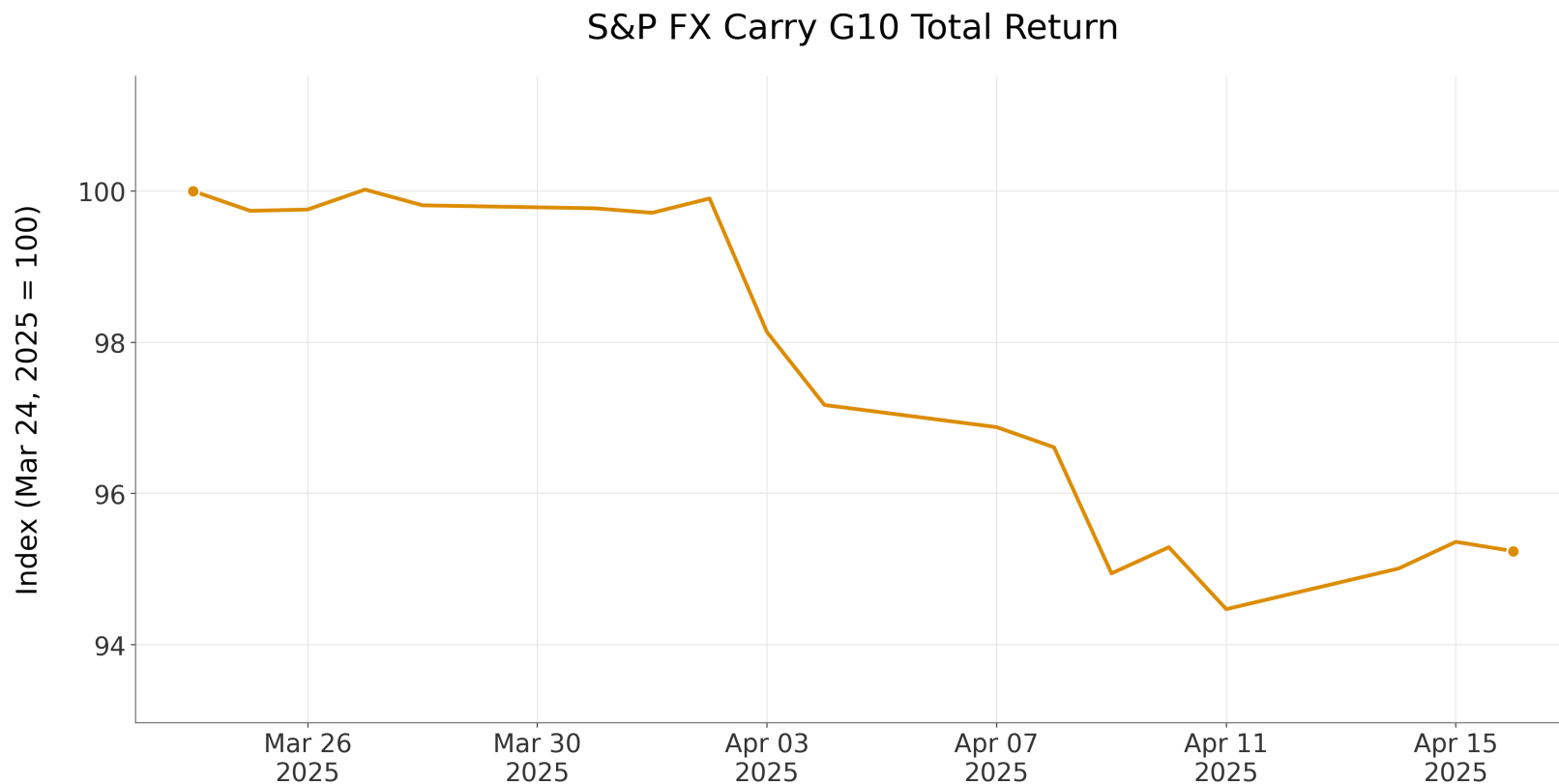


Source: [FRED DGS10](#), [FRED DGS3MO](#), and [FRED DFF](#).

# Carry Trade Index: S&P FX Carry G10 TR

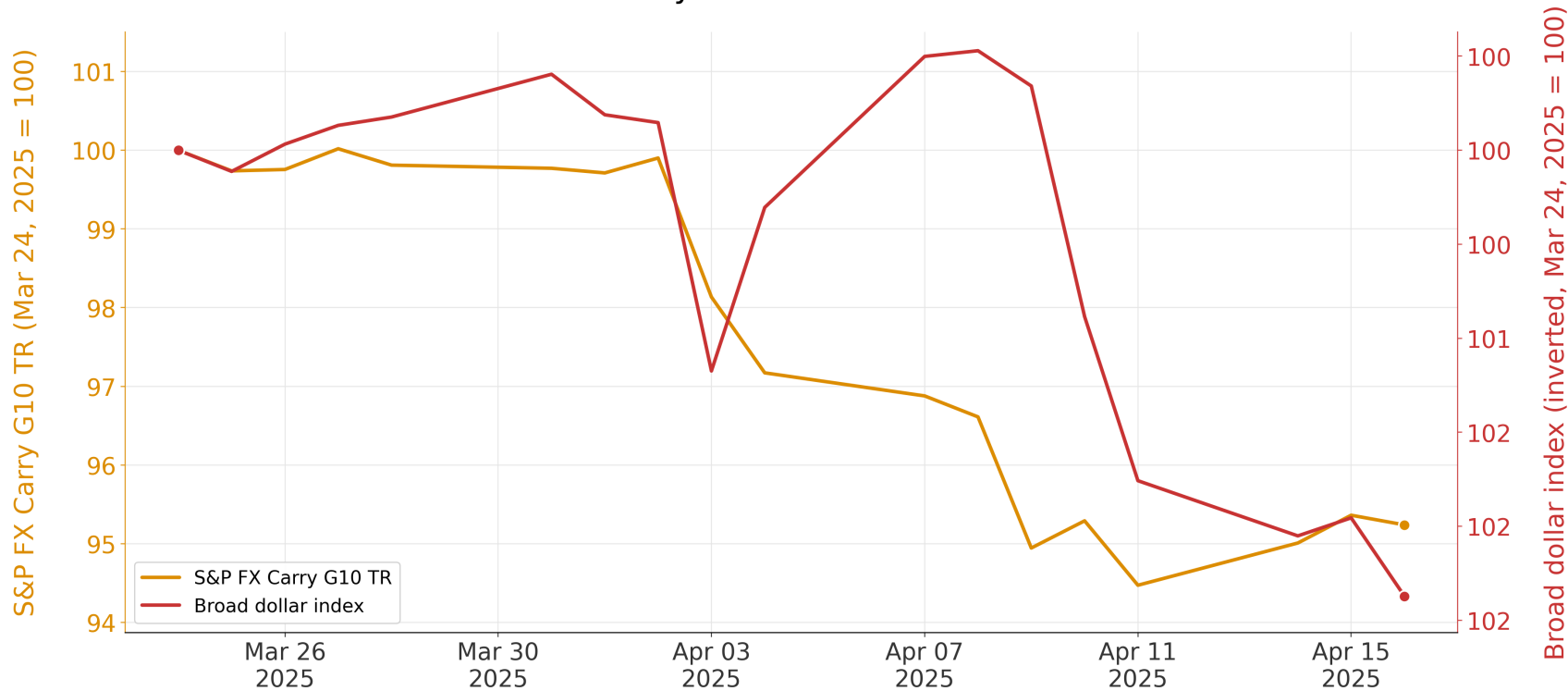
- Rank currencies by 3-month interest rate
- Lend in the 3 highest interest rate currencies; borrow in the lowest three
  - 3 highest NOK/GBP/AUD
  - 3 lowest CHF/JPY/SEK
- Rebalanced quarterly

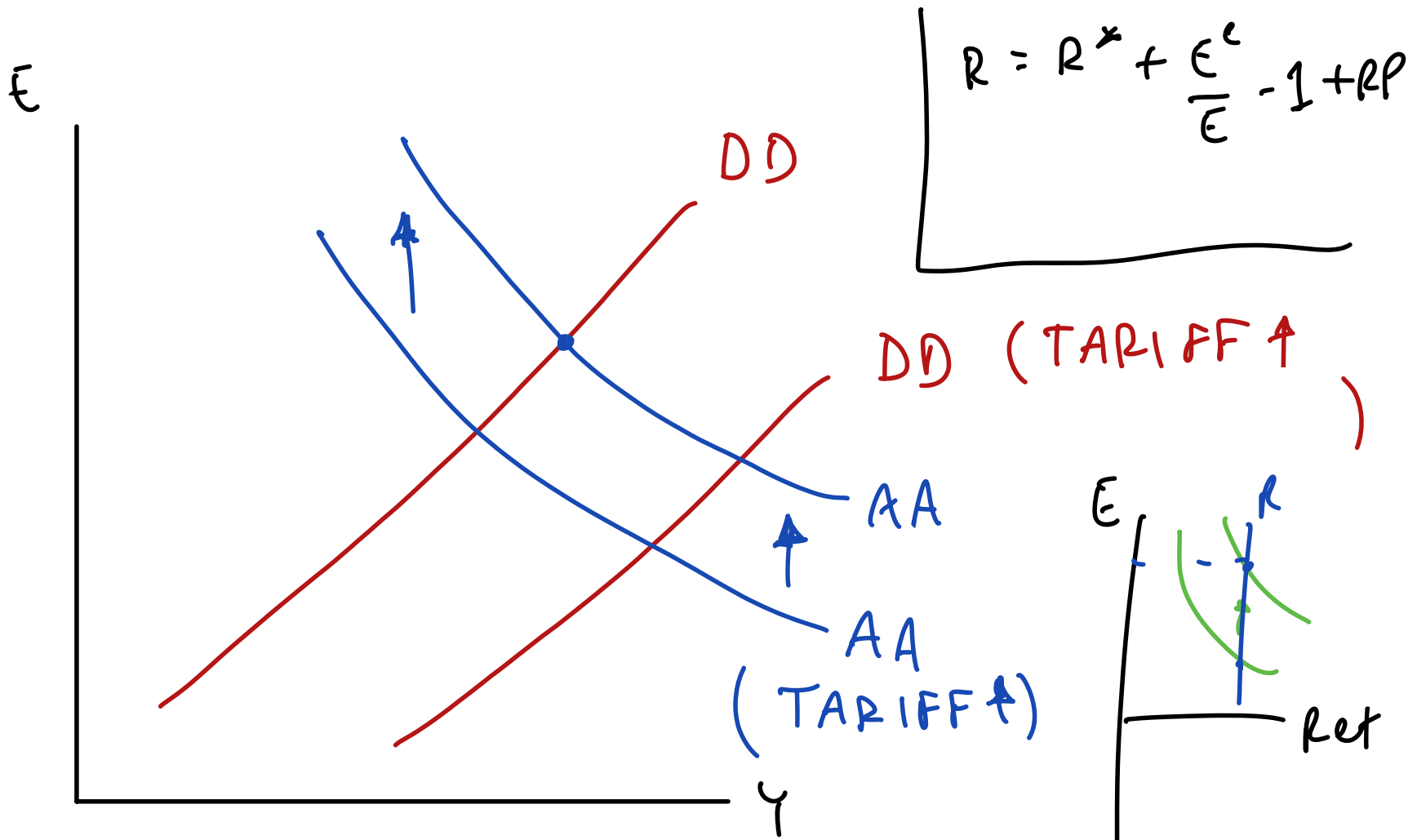
# Carry Trade Index: S&P FX Carry G10 TR



Source: [S&P Dow Jones Indices](#) daily total-return index levels for the S&P Risk Premia FX Carry G10 Index (USD) TR. Rebased to 100 on Mar. 24, 2025.

S&P FX Carry G10 TR and Broad Dollar





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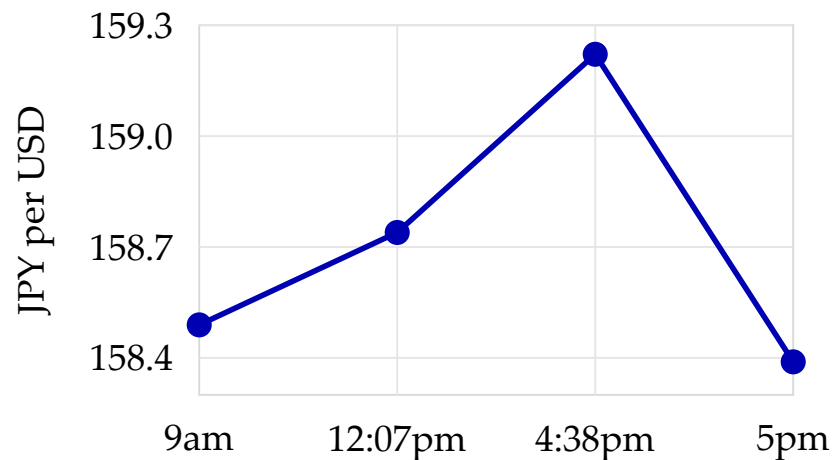
UIP Under Pressure: The BOJ and the Yen

# The December 2025 yen episode

- On December 19, 2025, the BOJ raised its policy rate from 0.5% to 0.75%, but the yen weakened rather than strengthened
- The move had been widely telegraphed, so markets had largely priced it in
- Gov. Ueda's cautious, data-dependent guidance did not signal a clearly faster tightening path
- Investors judged the decision as not hawkish enough and pushed USD/JPY higher

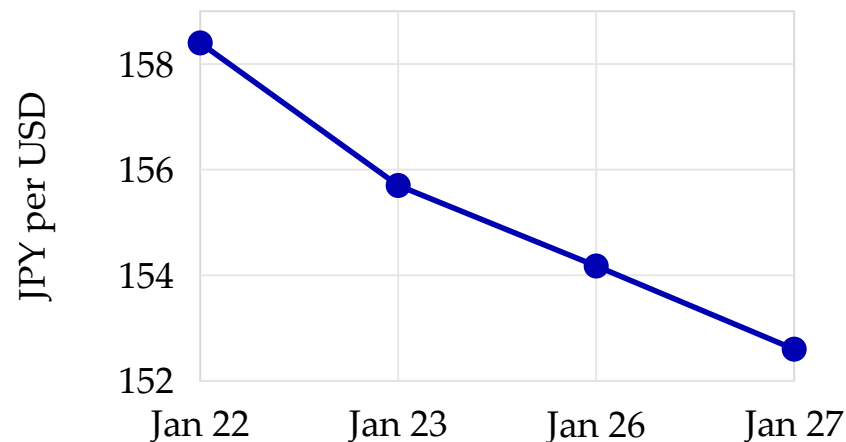
# The January 2026 yen episode

## Jan. 23 intraday



Yen weakened, then partially reversed

## Daily



Yen strengthened sharply

# Timeline of the turn

| When                  | What happened                                                       | USD/JPY |
|-----------------------|---------------------------------------------------------------------|---------|
| Jan. 22               | BOJ meeting opens.                                                  | 158.43  |
| Jan. 23, 12:07 pm     | Statement: no hawkish surprise. USD/JPY edges up.                   | 158.74  |
| Jan. 23, 3:30–4:38 pm | Ueda press conference: no tightening                                | 159.22  |
| Jan. 23, late U.S.    | Expectations of government intervention to prevent yen depreciation | 155.72  |
| Jan. 27               | Higher interest rates expected                                      | 152.21  |

Sources: [BOJ statement](#); [Ueda press conference summary \(NRI\)](#); [Reuters rate-check report](#); [MTFX](#); [Macrotrends](#).

# Why the direction changed

## First: why did JPY weaken?

- The BOJ statement and Ueda's press conference signaled lower future interest rates than expected
- Despite no actual change in the interest rate, expected lower interest rate led to depreciation

## Then: why did JPY strengthen?

- A NY Fed survey revealed market expects FX intervention to prevent JPY from falling
- Markets now concerned about JPY depreciation
- Depreciation → higher inflation → higher expected interest rates → appreciation

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# A Tour of the World

When Safe Havens Stop Working

# Are Treasuries still a safe haven?



**Axel Christensen** ✓ • 2nd

Managing Director, Chief Investment Strategist Latin Am...

2w • 🌐

 **Connect** ...

The Middle East conflict is upending well-established relationships in global markets.

In past geopolitical crises, long-term U.S. Treasuries would often rally and cushion equity market selloffs. But instead, yields have jumped. That aligns with our view that we are at risk of an inflationary supply shock — not a classic demand-driven slowdown. And why government bonds provide a diversification mirage.

# Full AA-DD Model

$$\text{DD Schedule: } Y = C(Y - T) + I + G + CA(EP^*/P, Y - T, Y^*)$$

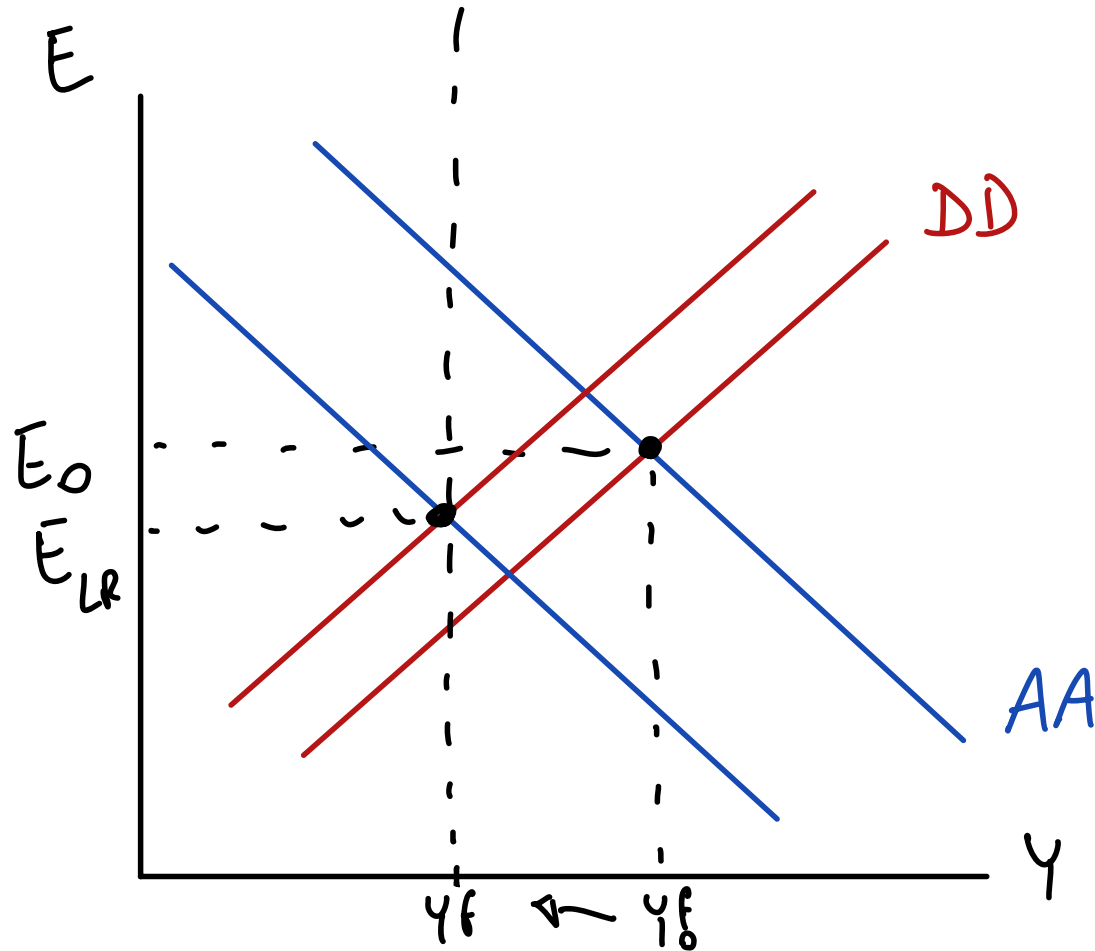
$$\text{AA Schedule: } \frac{M^s}{P} = L\left(R^* + \frac{E^e}{E} - 1, Y\right)$$

$$\text{Phillips Curve: } \pi = \pi^e + \alpha(Y - Y^f)$$

$$\text{Definition of inflation: } \pi_t = \frac{P_t}{P_{t-1}} - 1$$

$$\text{Definition of expected inflation: } \pi_t^e = \frac{P_{t+1}^e}{P_t} - 1$$

# Supply shock vs demand shock (PERM E t)



SUPPLY SHOCK

•  $Y^f \downarrow$

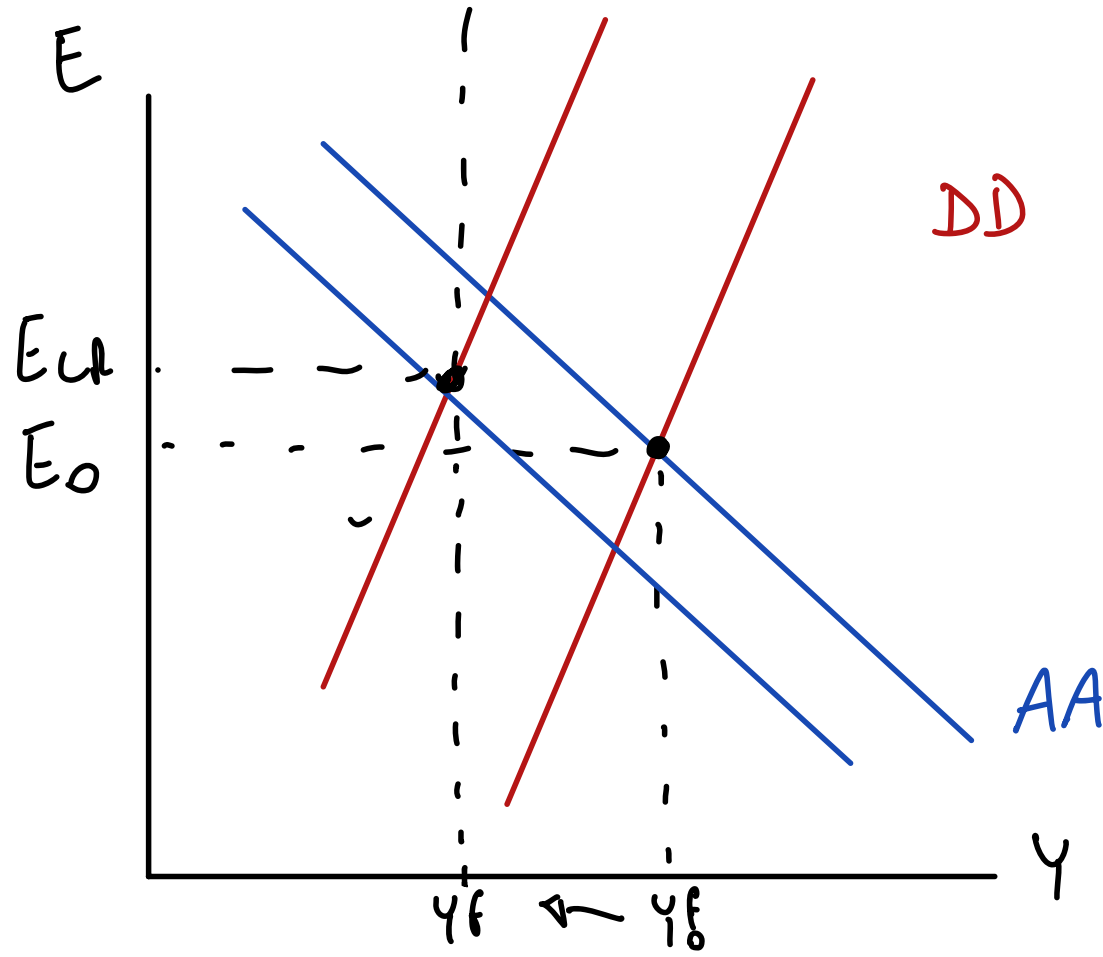
SR EQ IS

$(Y_0^f, E_0)$

LR EQ

$(Y^f, E_{LR})$

# Supply shock vs demand shock (PERM $E^+$ )



SUPPLY SHOCK

•  $Y^f \downarrow$

SR EQ IS

$(Y_0^f, E_0)$

LR EQ

$(Y^f, E_{LR})$

# Same shock, different outcome

|                     | Why                         | Stocks | Treasuries | Dollar |               |
|---------------------|-----------------------------|--------|------------|--------|---------------|
| <b>2008 GFC</b>     | More demand for safety      | ↓      | ↑          | ↑      | classic hedge |
| <b>2020 COVID</b>   | Scramble for cash           | ↓      | ↓          | ↑      | mixed         |
| <b>2025 tariffs</b> | Investors cut U.S. exposure | ↓      | ↓          | ↓      | both failed   |

Sources: Hu, Jin, & Pan (2025); ECB Financial Stability Review, Nov. 2025; BIS Working Paper 966; Acharya & Laarits (NBER); Fed IFDP 1427.

# The stock-bond correlation flip

